

Abercrombie & Fitch Co.

NYSE: ANF Equity Research • Consumer Discretionary / Apparel Retail

Abercrombie & Fitch

Report Date: 31 October 2025

Exchange: NYSE • Currency: USD

STRONG BUY

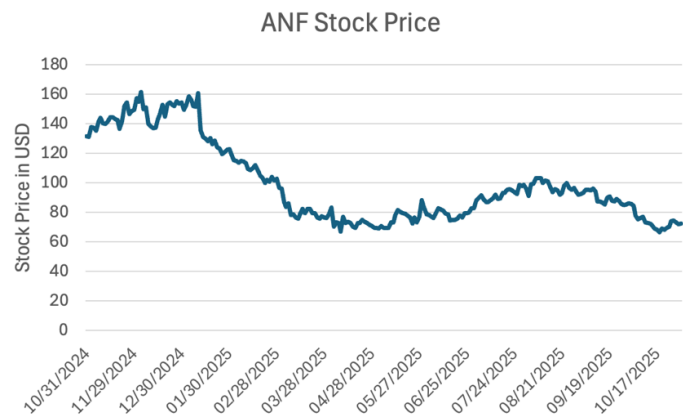
Current Price **\$70.90** | Target Price **\$109** (+53.74%) | Risk **Medium** | 12-mo. target

MARKET DATA

Market Cap	\$3.36 B
Revenue (FY24)	\$4,948 M
Revenue (LTM)	\$5,181 M
Net Income (FY24)	\$566 M
Net Income (LTM)	\$522 M
LTM EPS	\$10.74
P/E	6.6x
EV / EBITDA (LTM)	3.07x
EV / EBIT (LTM)	3.70x
Beta	1.35

All figures in USD; \$ in millions unless noted.

SHARE PRICE — TRAILING 12 MONTHS



INVESTMENT SUMMARY

I believe Abercrombie & Fitch remains fundamentally strong with solid long-term growth potential despite its recent share-price decline. The sell-off looks overdone and largely driven by temporary concerns around the Abercrombie brand and a short-term deceleration. I remain confident in management's strategy, the brand portfolio, and the company's growth opportunities, which support the view that the stock is undervalued even under conservative growth assumptions. We rate the shares **STRONG BUY** with a 12-month target of \$109.

Recent Results & Outlook

Second-Quarter FY2025 Results

Abercrombie & Fitch delivered another strong quarter, marking its **11th consecutive quarter of growth** with **record 2Q net sales of \$1.2 billion, up 7% year over year** and ahead of management's prior outlook. Growth was driven primarily by **Hollister, which posted 19% net sales growth**, alongside continued strength in the **Americas (+8% YoY)** and **APAC (+12% YoY)**, partially offset by a modest **1% decline in EMEA**. Profitability was also strong, with a **reported operating margin of 17.1%** and an **adjusted operating margin of 13.9%** (excluding a **\$39M pre-tax litigation-settlement benefit**), both exceeding expectations. Adjusted EPS of **\$2.32** compared favorably to prior guidance, underscoring effective cost control and operational discipline. Reflecting this momentum, management **raised full-year net sales growth guidance to 5–7%** and reaffirmed its long-term outlook, while incorporating an estimated **\$90M tariff impact (~170 bps of sales)**.

Full-Year Guidance

For fiscal 2025, the company now expects **net sales growth of 5–7%**, supported by continued store expansion and steady underlying demand. **Operating margin is projected at 13.0–13.5%**, reflecting disciplined cost control despite ongoing tariff pressures, with an **effective tax rate of approximately 30%**. **Diluted EPS is guided to**

\$10.00–\$10.50, assuming a diluted share count of approximately 49 million. Capital allocation remains shareholder-friendly, with approximately **\$400 million in share repurchases** planned and **capital expenditures of approximately \$225 million**, primarily to support store growth and maintenance. Real-estate activity includes approximately **40 net new store openings** (60 openings and 20 closures), alongside around 40 remodels and right-sizing initiatives.

Company Overview

Abercrombie & Fitch Co. is an American apparel retailer founded in Delaware in 1996. The company operates as a digitally led, omnichannel retailer offering apparel, accessories, and personal-care products for men, women, and children, sold through a portfolio of brands: Hollister, Gilly Hicks, Social Tourist, Abercrombie & Fitch, and Abercrombie Kids.

Each brand targets a distinct customer demographic. Hollister primarily focuses on teenagers; Gilly Hicks and Social Tourist — the latter co-created with influencers Charli and Dixie D'Amelio — target Generation Z; the Abercrombie & Fitch brand targets young adults, primarily millennials; and Abercrombie Kids is designed for children. The company operates globally across the Americas, Europe, Asia-Pacific, the Middle East, and Africa.

Strategy

Abercrombie & Fitch's long-term strategy is centered on becoming a digitally led, omnichannel global apparel retailer while maintaining flexibility amid near-term macroeconomic and geopolitical uncertainty. The company's **“Always Forward Plan,”** announced in fiscal 2022, outlines a multi-year roadmap aimed at delivering sustainable growth and long-term shareholder value, anchored on three core pillars: **brand growth, digital acceleration, and financial discipline.**

Under this framework, management is focused on brand-specific growth initiatives — targeted marketing and store investment for the Abercrombie brand, refinement of Hollister's assortment and positioning to support renewed growth, and continued expansion of Social Tourist through an evolved merchandise mix. In parallel, the company is executing an enterprise-wide digital transformation, including modernization of key data platforms, a multi-year ERP and cloud migration, and enhancements to the digital and mobile customer experience.

Financial discipline remains a key priority, with management emphasizing lean inventory management, flexible inventory-chase capabilities, and a balanced approach to investment, cost control, and efficiency. Collectively, these efforts position the company to pursue profitable, long-term growth while maintaining operational agility in a dynamic retail environment.

Company History

Abercrombie & Fitch traces its origins to 1892, when David T. Abercrombie opened the company's first store — originally David T. Abercrombie Co. — specializing in hunting and fishing equipment. In 1900, lawyer Ezra Fitch purchased a stake, and by 1904 the business was renamed Abercrombie & Fitch. During its early years the company catered to notable figures, including President Theodore Roosevelt, and in the 1940s became a major supplier of military uniforms across all branches of the U.S. armed forces. By 1968 it reported approximately \$28 million in sales.

Performance deteriorated in the 1970s, and the company filed for bankruptcy in 1976. In 1978 Oshman's Sporting Goods acquired the brand, and in 1988 The Limited acquired Abercrombie & Fitch for \$47 million. In 1992, Michael Jeffries was hired and later reshaped the company's marketing around a provocative image. In 1996 the company went public on the NYSE under the ticker **ANF**, was spun off from Limited Brands in 1998, and launched Abercrombie Kids that year and Hollister in 2000. Later brand extensions included Ruehl No. 925 (2004–2010) and Gilly Hicks (2008).

Brand Controversy & Turnaround

Abercrombie became widely known for controversial marketing under Michael Jeffries' leadership; a 2006 interview in which he emphasized exclusivity and sex appeal drew lasting criticism, and the company faced class-action lawsuits alleging discriminatory hiring practices. Jeffries stepped down as CEO in 2014. In 2017, **Fran Horowitz** was appointed CEO and led a significant brand turnaround that culminated in record sales performance in 2024.

Industry Overview

The fundamental outlook for the U.S. specialty-apparel retail sub-industry is **neutral**, reflecting a structurally mature sector that has become increasingly bifurcated between well-positioned operators and underperforming peers. While select best-in-class and value-oriented retailers continue to outperform, broader fundamentals remain constrained by macroeconomic headwinds, muted consumer confidence, and limited pricing power.

- **Equity performance** has been resilient at times. As of November 17, 2025, the S&P Composite 1500 Apparel Retail Index was up approximately **12% year-to-date**, modestly trailing the broader index's 13.2% gain. Over five years the apparel-retail index delivered a **14.4% CAGR**, outpacing the broader market's 12.1%, underscoring the outperformance of dominant off-price and operationally efficient retailers.
- **Industry growth** is expected to remain modest. Inforum and the Interindustry Economic Research Fund project U.S. clothing-store industry growth of a **2.6% CAGR from 2025 to 2029**, below the broader economy, constrained by elevated rates and limited real-income expansion (projected up 1.8% in 2025 and 1.6% in 2026).
- **Consumer behavior** continues to favor value-oriented retailers. The University of Michigan Consumer Sentiment Index registered **51.0 in November 2025**, near multi-year lows, disproportionately affecting discretionary categories such as apparel, particularly among lower- and middle-income consumers.
- **Inflation** is mixed: core CPI rose **3.0% year-over-year in September**, but apparel CPI declined marginally, signaling continued promotional activity and limited pass-through pricing power.
- **Cost and labor pressures** remain elevated, driven by higher tariff rates and rising Asian production costs. U.S. unemployment rose to **4.3% by August 2025** (from 3.7% in January 2024), and seasonal retail hiring is projected to fall below **500,000 positions in Q4 2025**, the lowest since 2009, as retailers emphasize cost discipline.

Overall, the U.S. specialty-apparel sub-industry at the end of November 2025 is characterized by low growth, heightened competition, and ongoing structural change. While macro pressures and shifting preferences continue to challenge discretionary demand, value-oriented, off-price, and digitally capable retailers remain positioned to outperform within a mature, increasingly polarized market.

Competitive Landscape

- **American Eagle Outfitters** — a U.S. specialty retailer focused on casual, everyday clothing for teens and young adults, with a strong emphasis on denim and lifestyle basics. Operates primarily through its American Eagle and Aerie brands and leverages an omnichannel model integrating stores and e-commerce.
- **Gap Inc.** — a global apparel retailer with a diversified portfolio including Gap, Old Navy, Banana Republic, and Athleta. Serves a wide range of demographics, from value-oriented families to more premium consumers, emphasizing brand segmentation, scale efficiencies, and a balanced store-and-digital mix across international markets.
- **Uniqlo** — a subsidiary of Fast Retailing centered on functional, high-quality basics under its “LifeWear” philosophy. Targets a broad demographic with timeless, minimalist designs and emphasizes operational efficiency, fabric innovation, and large-format stores to support global expansion.

- **H&M** — a global fast-fashion retailer offering trend-driven apparel at accessible price points. Targets a broad, fashion-conscious base across an extensive international store network supported by e-commerce, emphasizing rapid product turnover and scale-driven sourcing.
- **Zara** — Inditex's flagship, a vertically integrated fast-fashion retailer known for its rapid design-to-shelf cycle. Targets style-conscious consumers and benefits from a highly responsive supply chain enabling limited production runs, fast inventory turnover, and reduced markdown risk.

Financial Statements

Income Statement												
In millions USD	Fiscal 2018	Fiscal 2019	Fiscal 2020	Fiscal 2021	Fiscal 2022	Fiscal 2023	Fiscal 2024	2024 Q1	2024 Q2	2024 Q3	2025 Q1	2025 Q2
Net sales	\$3,590	3,623	3,125	3,713	3,698	4,281	4,949	1,021	1,134	1,209	1,097	1,209
YoY % Growth	\$0	0.9%	-13.7%	18.8%	-0.4%	15.8%	15.6%				8%	7%
Hollister	\$2,153	2,159	1,834	2,148	1,735	2,202	2,392	449	552	579	549	657
YoY % Growth	\$0	0.3%	-15.0%	17.1%	-19.2%	26.9%	8.7%				22%	19%
% of total	\$1	60%	59%	58%	47%	51%	48%	44%	49%	48%	50%	54%
Abercrombie	\$1,438	1,465	1,291	1,565	1,963	2,079	2,556	572	582	630	548	552
YoY % Growth	\$0	1.9%	-11.8%	21.2%	25.4%	5.9%	23.0%				-4%	-5%
% of total	\$0	40%	41%	42%	53%	49%	52%	56%	51%	52%	50%	46%
Cost of Sales, exclusive of depreciation and amortization	\$1,430	1,472	1,234	1,401	1,593	1,587	1,774	343	398	422	417	452
Gross profit	\$2,160	2,151	1,891	2,312	2,105	2,693	3,175	677	736	787	680	757
Gross Margin	\$1	59%	61%	62%	57%	63%	64%	66%	65%	65%	62%	63%
SG&A	\$2,021	2,016	1,855	1,966	2,015	2,215	2,440	550	561	609	575	551
% of rev	\$1	56%	59%	53%	54%	52%	49%	54%	49%	50%	52%	46%
Selling Expense					1,462	1,533	1,690	360	383	421	400	375
General and administrative expense					553	681	750	190	178	188	175	175
Stores and distribution expense	\$1,536	1,551	1,392	1,429								
Marketing, general and administrative expense	\$485	465	464	537								
Flagship store exit (benefits) charges	\$6	47	(12)	-								
Asset impairment, exclusive of flagship store exit charges	\$12	19	73	-								
Other operating income, net	(\$6)	(1)	(5)	(8)	(3)	(6)	(7)	(2)	(0)	(2)	4	(0)
Operating (loss) income	\$127	70	(20)	343	93	485	741	130	176	179	102	207
Ebit Margin	\$0	1.9%	-0.7%	9.2%	2.5%	11.3%	15.0%	12.7%	15.5%	14.8%	9.3%	17.1%
Interest expense, net	\$11	8	28	0	0	0	(0)	-	-	-	-	-
Interest expense	\$0	-	-	38	30	30	12	6	5	1	1	1
Interest income	\$0	-	-	(4)	(5)	(30)	(40)	(11)	(10)	(9)	(7)	(3)
(Loss) income before income taxes	\$116	62	(49)	309	67	484	769	135	181	188	108	209
Income tax expense	\$38	17	60	39	57	149	195	20	45	54	27	66
Net (loss) income	\$79	45	(109)	270	10	335	574	115	135	134	82	143
Net Income Margin	\$0	0	(0)	0	0	0	0	0	0	0	0	0
Less: Net Income attributable to noncontrolling interests	\$4	6	5	7	8	7	8	1	2	2	1	2
Net (loss) income attributable to A&F	\$75	39	(114)	263	3	328	566	114	133	132	80	141
Net (loss) income per share attributable to A&F												
Basic	\$1	1	(2)	4	0	7	11	2	3	3	2	3
Diluted	\$1	1	(2)	4	0	6	11	2	3	3	2	3
Weighted-average shares outstanding												
Basic	\$67,350	64,428	62,551	59,597	50,307	50,250	50,839	50,893	51,246	50,951	49,214	47,550
Diluted	\$69,137	65,778	62,551	62,636	52,327	52,726	52,971	53,276	53,279	52,869	50,634	48,551
Other comprehensive income (loss)												
Foreign currency translation, net of tax	(\$19,940)	(5,080)	12,195	(22,917)	(11,964)	(3,879)	(7,351)	(1,837)	3,441	84	10,662	2,153
Derivative financial instruments, net of tax	\$12,542	(1,354)	(5,816)	10,518	(10,857)	5,438	4,168	523	(1,150)	1,461	(12,540)	1,048
Other comprehensive income (loss)	(\$7,398)	(6,434)	6,379	(12,399)	(22,821)	1,559	(3,183)	(1,314)	2,291	1,545	(1,878)	3,201
Comprehensive (loss) income	\$71,410	38,526	(102,375)	257,667	(12,436)	336,972	570,833	113,764	137,670	153,409	79,861	146,589
Less: Comprehensive income attributable to noncontrolling interest	\$4,267	5,602	5,067	7,056	7,569	7,290	7,793	1,228	2,211	1,885	1,326	2,005
Comprehensive (loss) income attributable to A&F	\$67,143	32,924	(107,442)	250,611	(20,005)	329,682	563,040	112,536	135,459	133,524	78,535	144,584

Figure 1 — Income Statement

	2017	2018	2019	2020	2021	2022	2023	MAY '24	AUG '24	NOV '24	2024	MAY '25	AUG '25
Assets													
Cash & Short-Term Investments	\$676	723	674	1,109	823	518	901	864	738	739	889	608	604
Cash Only	\$676	723	674	1,109	823	518	901	864	738	683	773	511	573
Total Short-Term Investments	\$0	-	-	-	-	-	-	-	-	56	116	97	31
Short-Term Receivables	\$80	73	80	84	69	105	78	94	115	112	105	113	174
Inventories	\$424	438	434	404	526	506	470	449	540	693	575	542	593
Other Current Assets	\$85	102	77	64	90	100	89	103	123	113	104	111	119
Total Current Assets	\$1,265	1,336	1,265	1,662	1,508	1,228	1,537	1,510	1,517	1,656	1,673	1,374	1,489
Net Property, Plant & Equipment	\$738	695	1,896	1,445	1,207	1,275	1,216	1,240	1,299	1,369	1,379	1,474	1,572
Total Long-Term Investments	\$125	-	19	15	11	10	9	8	8	8	8	8	8
Intangible Assets	\$26												
Deferred Tax Assets	\$64												
Other Assets	\$108	355	370	194	214	200	212	213	226	237	240	240	233
Total Assets	\$2,326	2,386	3,550	3,315	2,940	2,713	2,974	2,970	3,050	3,270	3,300	3,096	3,302
Liabilities & Shareholders' Equity													
Current													
ST Debt & Curr. Portion LT Debt	\$0	-	283	249	223	214	180	189	203	210	212	216	223
Accounts Payable	\$169	227	220	289	375	259	297	267	407	466	365	297	368
Accrued expenses	\$328	294	302	396	396	413	437	403	422	469	505	-	430
Short-term portion of deferred lease credits		20											
Income Tax Payable	\$10	19	10	25	22	16	54	61	20	36	46	53	17
Total Current Liabilities	\$508	559	815	959	1,015	902	967	920	1,052	1,182	1,127	999	1,038
Long-Term liabilities													
Long-Term Debt	\$300	297	1,485	1,302	1,001	1,010	869	870	688	735	740	810	876
Long-term portion of deferred lease credits	\$76	76											
Long-term portion of operating lease liabilities			1,253	958	697	713	647	657	688	735	740	810	876
Long-term portion of borrowings, net	\$250	250	232	344	304	297	222	213					
Leasehold financing obligations	\$51	46											
Other Liabilities	\$190	235	179	105	86	94	89	89	89	92	82	84	80
Total long-term liabilities	\$666	\$608	\$1,663	\$1,406	\$1,087	\$1,104	\$957	\$959	\$777	\$827	\$822	\$895	\$957
Total Liabilities	\$1,073	1,167	2,479	2,366	2,102	2,007	1,924	1,879	1,828	2,009	1,949	1,894	1,995
Equity													
Common Equity	\$1,242	1,209	1,059	937	826	695	1,035	1,079	1,207	1,247	1,336	1,189	1,292
Common Stock Par/Carry Value	\$1	1	1	1	1	1	1	1	1	1	1	1	1
Additional Paid-In Capital/Capital Surplus	\$406	405	405	401	413	416	422	401	408	417	423	397	405
Retained Earnings	\$2,421	2,419	2,314	2,150	2,386	2,369	2,644	2,745	2,878	3,010	3,197	3,273	3,414
Cumulative Translation Adjustment/Unrealized For. I	(\$85)	(105)	(109)	(5)	(121)	(133)	(137)	(138)	(135)	(135)	(144)	(133)	(131)
Unrealized Gain/Loss Marketable Securities	\$0	-	-	-	-	-	-	-	-	-	-	-	-
Other Appropriated Reserves	(\$10)	2	1	(98)	6	(5)	1	1	(0)	1	5	(8)	(7)
Treasury Stock	(\$1,491)	(1,514)	(1,552)	(1,513)	(1,890)	(1,954)	(1,895)	(1,931)	(1,946)	(2,047)	(2,146)	(2,340)	(2,390)
Total A&F stockholders' Equity	\$1,242	1,209	1,059	937	826	695	1,035	1,079	1,207	1,247	1,336	1,189	1,292
Noncontrolling interests	\$10	10	12	13	11	12	15	12	15	13	16	13	15
Total stockholders' equity	\$1,253	1,219	1,071	949	837	707	1,050	1,091	1,221	1,260	1,351	1,203	1,307
Total Liabilities & Shareholders' Equity	\$2,326	2,386	3,550	3,315	2,940	2,713	2,974	2,970	3,050	3,270	3,300	3,096	3,302
Per Share													
Book Value per Share	\$18	18	17	15	16	14	21	21	24	25	27	25	27
Tangible Book Value per Share	\$18	18	17	15	16	14	21	21	24	25	27	25	27

All figures in millions of U.S. Dollar except per share items.

Figure 2 — Balance Sheet

Sales Analysis

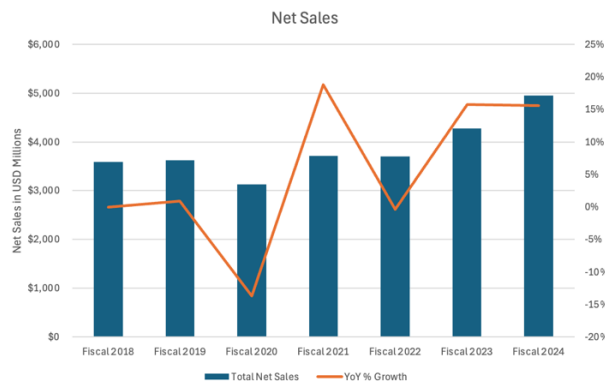


Figure 3 — Net Sales & YoY Growth

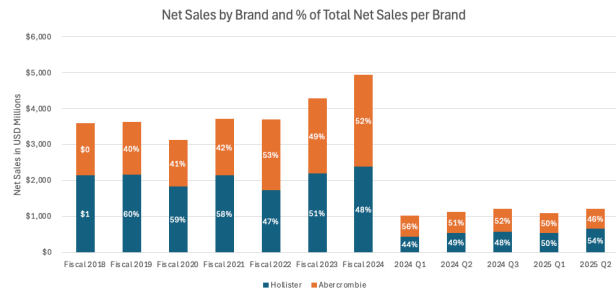


Figure 4 — Net Sales by Brand & % of Total

Since 2018, Abercrombie has delivered solid growth — a **CAGR of 5.1%** — taking a hit during COVID but recovering quickly the following year. Growth has been led by the **Abercrombie brand (CAGR of 10.1%)**, while **Hollister grew at 1.8%** over the same period. In 2025 this trend shifted: Hollister became the biggest driver of growth, rising **22% and 19% in Q1 and Q2** respectively, while the Abercrombie brand declined **4% and 5%**. Hollister's growth was driven mainly by existing stores, with comparable sales up **23% and 19%**, whereas Abercrombie's comparable sales fell **10% and 11%**.

Abercrombie's weak Q2 comparable sales were primarily driven by excess carryover inventory from the prior year, which forced increased promotions and markdowns. This lowered average unit retail (AUR) — which management identified as the main reason for the sales miss, not a lack of demand or traffic. In fact, traffic remained strong across both stores and digital channels.

Management explained that clearing higher-cost, excess inventory compressed both AUR and gross margin. Inventory at quarter-end was up 10% at cost and 7% in units year-over-year, indicating significantly more unsold merchandise than the prior year. As a result, even though units were selling and engagement was healthy, revenue per customer fell, pulling Abercrombie-brand comparable sales down 11%; selling through this inventory also pressured cost of sales.

Importantly, management emphasized that this was a **temporary, self-inflicted issue, not a demand problem**. By the end of Q2, inventory was described as “clean and current,” positioning the brand to reduce promotions and stabilize AUR going forward.

Margins & Profitability

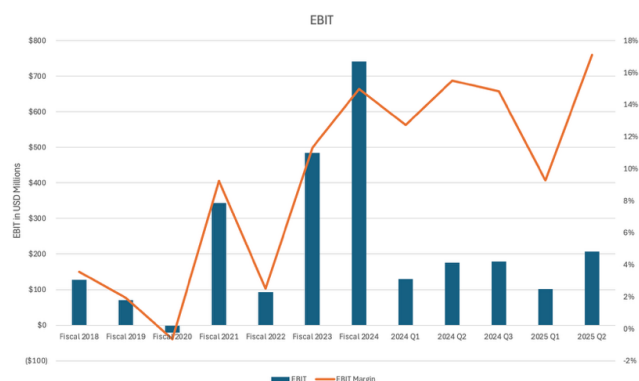
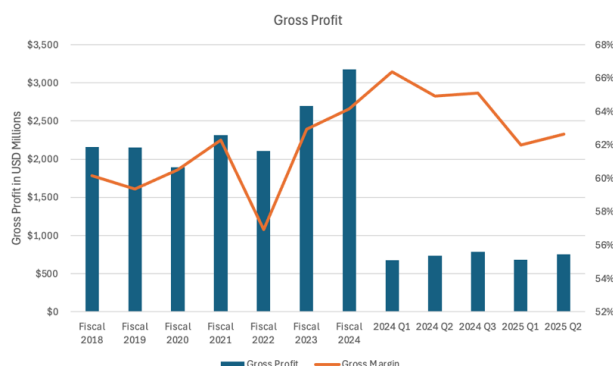


Figure 5 — Gross Profit & Gross Margin

Figure 6 — EBIT & EBIT Margin

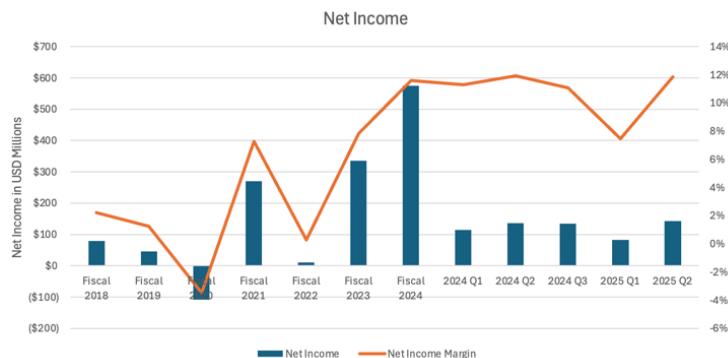


Figure 7 — Net Income & Net Income Margin

Over time, the company has demonstrated a clear improvement in profitability, with gross margins expanding structurally as pricing discipline, merchandising optimization, and supply-chain efficiencies improved following pandemic-related volatility. Gross margin recovered meaningfully after fiscal 2022 and has remained elevated, reflecting better inventory management and reduced promotional intensity.

Operating margins have followed a similar trajectory, with EBIT margins expanding steadily as SG&A leverage improved alongside revenue growth. While margins experienced short-term volatility on a quarterly basis due to seasonality and investment spending, the overall trend remains positive.

Net income margins have also strengthened over the long term, supported by higher operating profitability and improved cost control. Most recently, margins remain healthy — gross margin in the low-to-mid 60% range and EBIT margin in the mid-teens — indicating sustained pricing power and a structurally more profitable business than historically. The sharp margin decline in Q1 2025 is largely seasonal, driven by post-holiday demand normalization, higher promotional activity, and front-loaded investment spending.

Returns on Capital

Methodology

- $ROTCE = EBIT / (NWC + NFA)$
- $NWC = \text{current assets (excl. cash)} - \text{current liabilities (excl. short-term debt)}$
- $ROIC = EBIT \times (1 - \text{tax rate}) / [(\text{assets} - \text{cash}) - \text{non-interest-bearing current liabilities}]$

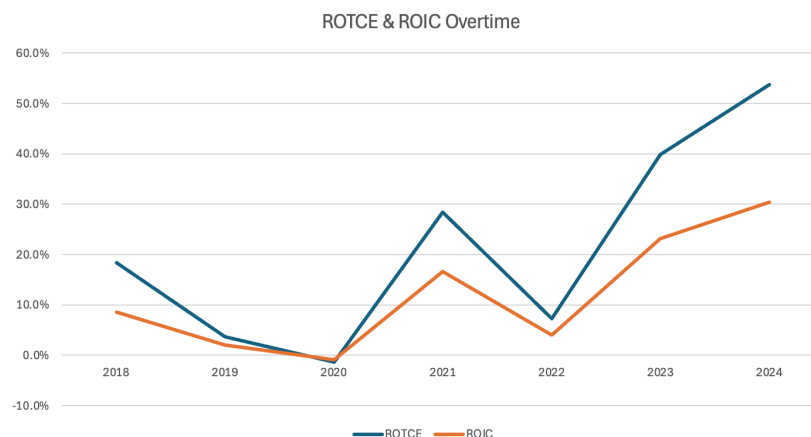


Figure 8 — ROTCE & ROIC Over Time

Abercrombie's returns on capital deteriorated significantly between 2019 and 2020, reflecting weak operating performance, store rationalization, and pandemic-related disruptions. During this period both ROTCE and ROIC reached trough levels as profitability declined and the capital base remained elevated.

From 2021 onward, returns rebounded sharply, driven by a meaningful recovery in EBIT, improved inventory discipline, and a structurally more efficient store footprint. The acceleration in 2023 and 2024 highlights strong operating leverage and improved capital allocation, as incremental investments generated significantly higher returns.

At current levels, both ROTCE and ROIC are well above historical averages, indicating that Abercrombie has successfully repositioned its business and is now generating returns meaningfully above its cost of capital.

Valuation

Target price per share

- **Public Company Comparables: \$153**
- **Discounted Cash Flow: \$109**
- **Assumed acquisition price: \$109**
- The target price is **primarily based on the DCF analysis**, with a slight uplift reflecting the comparables.

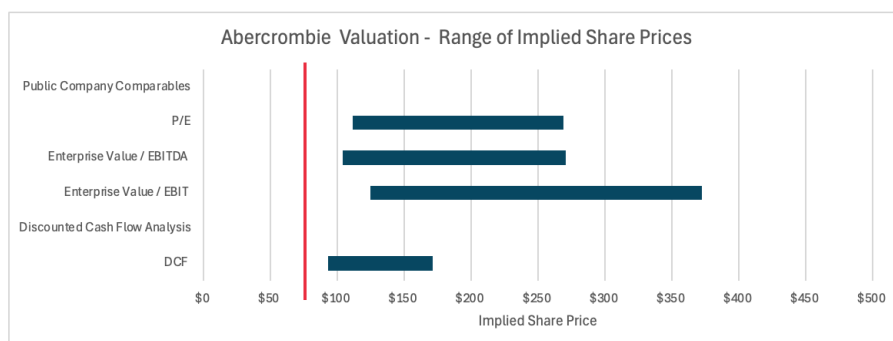


Figure 9 — Valuation Football Field — Range of Implied Share Prices

Public Company Comparables

Company Name	Market Cap	Price	52 Week High	P/E Ratio LTM	Revenue 2024	Revenue CAGR Past 3 years	Revenue CAGR past 5 years	EBITDA LTM	EBIT LTM	Enterprise Value/ EBITDA LTM	Enterprise Value/EBIT LTM	D/E
Abercrombie & Fitch A	3,332	70.9	147.9	6.96x	4,949	10.1%	6.4%	872	720	4.90x	5.93x	0.27
American Eagle	2,959	17.4	20.3	14.42x	5,329	2.1%	4.3%	514	290	9.38x	16.65x	0.34
Buckle	2,713	55.0	61.7	13.46x	1,218	-2.0%	6.2%	282	257	8.86x	9.71x	0.06
Winmark	1,245	403.0	527.4	44.80x	81	1.3%	2.0%	55	54	28.57x	29.14x	0.05
Tillys A	28	1.5	4.6	-	569	-9.8%	-1.7%	(121)	(132)	-	-	3.57
Gap	9,452	23.0	29.3	10.23x	15,086	-3.3%	-1.0%	1,622	1,125	5.97x	8.60x	0.49
Average	3,279			21	4,456	-2.3%	1.9%	471	319	8.07x	11.65x	1
EBITDA Multiple Valuation												153

Figure 10 — Comparable Public Companies

The public-company comparables analysis implies a target price of approximately **\$153**, derived using average valuation multiples, with Winmark excluded from the peer set due to its materially different business model and valuation profile. While this implied valuation is modestly higher than the DCF-derived target, it provides additional support for upside potential and suggests the stock could perform slightly better than the DCF-only valuation would imply.

Discounted Cash Flow Analysis

Unlevered DCF													
	2021	2022	2023	2024	2025								
					Q1,Q2,Q	Q4	2025 FY E	2026E	2027E	2028E	2029E	2030E	TV
Sales	\$3,713	3,698	4,281	4,949	3,587	1,658	5,246	5,455	5,674	5,900	6,136	6,382	
Hollister	\$2,148	1,735	2,202	2,392			2,744	2,853	2,967	3,086	3,210	3,338	
YoY % Growth Rate		-19%	27%	9%									
Abercrombie	\$1,565	1,963	2,079	2,556			2,502	2,602	2,706	2,814	2,927	3,044	
YoY % Growth Rate		25%	6%	23%									
COGS	\$1,401	1,593	1,587	1,774	1,356	638	1,993	2,182	2,269	2,360	2,455	2,553	
Gross Profit	\$2,312	2,105	2,693	3,175	1,437	1,021		3,273	3,404	3,540	3,682	3,829	
Gross Profit Margin	62%	1	1	1	40%	62%	0%	60%	60%	60%	60%	60%	
D&A	\$144	132	141	154	136	21	157	164	169	174	180	186	
SG&A	\$1,966	2,015	2,215	2,440				2,728	2,837	2,950	3,068	3,191	
EBIT	\$343	93	485	741	456	226	682	546	567	590	614	638	
EBIT Margin	9%	3%	11%	15%	13%	14%	13%	10%	10%	10%	10%	10%	
EBIT *(1-Tax Rate)	\$247	67	349	533	313	155	477	393	408	425	442	460	
D&A	\$144	132	141	154	136	21		164	169	174	180	186	
Current assets	\$685	710	636	784	573	832		897	933	970	1,009	1,049	
Current liabilities	\$792	688	787	915	815	1,029	1,029	979	1,019	1,059	1,102	1,146	
NW	(\$108)	22	(151)	(131)	(111)	(197)	(197)	(83)	(86)	(89)	(93)	(97)	
CNW		130	(173)	20		(86)		114	(3)	(3)	(4)	(4)	
CapEx	(\$97)	(165)	(158)	(183)	-189	-36	-225	(214)	(223)	(232)	(241)	(251)	
FCF	294	(96)	505	484	260	226		228	358	371	384	398	4,411
DFCF					260	223		214	304	285	268	252	2,786
EV				\$4,591									
Implied Equity Value				\$5,195									
per share				\$109									

Figure 11 — Unlevered DCF

Figure 12 — Revenue & Operating Assumptions

Revenue Assumptions	
Terminal growth rate	1%
Hollister	4%
Abercrombie	4%
Other	
COGS	40%
current assets	16%
current liabilities	45%
CapEX	-4%
SG&A	50%
tax Rate	28%
WACC	10.45%
Fully dilute number of shares	47.45

Over the past three years, the **Hollister** brand has grown at an average of 5% per year, while the **Abercrombie** brand has grown at an average of 18%. This year Hollister is growing strongly, revenue up 22% and 21% in Q1 and Q2, supported by similar comparable-sales growth. However, fashion brands tend to experience significant growth fluctuations due to changing consumer trends, which makes revenue less predictable. I therefore project a slowdown in Hollister's growth to 4% **next year**, moderating to 3% in the final two forecast years, closer to its historical average.

Abercrombie has seen flat sales and declining comparable sales this year. Management has explained that although store traffic remains strong, poor inventory management last year drove increased promotions and lower average revenue per customer. I view the recent comparable-sales decline as largely a **one-year inventory misstep rather than a structural issue**, and expect growth to resume next year, supported by a strong brand,

loyal customers, improved marketing, and opportunities such as the NFL partnership. I also reduce long-term growth assumptions to **3%** given intense competition from American Eagle, Uniqlo, and Gap.

Based on these assumptions, the DCF analysis yields a target price of approximately **\$109 per share**.

Sensitivity Analysis

DCF output is most sensitive to the assumed cost of capital and brand-level growth rates. The tables below show implied per-share value across a range of assumptions for medium-term Abercrombie and Hollister growth and for the terminal growth rate, holding other inputs constant.

W A C C	Abercrombie Next Five Years Growth Rate							
	109.48	0%	1%	2%	4%	4%	5%	6%
	8.95%	121	122	124	127	127	128	130
	9.45%	115	116	118	120	120	122	123
	9.95%	110	111	112	115	115	116	117
	10.45%	105	106	107	109	109	111	112
	10.95%	101	102	103	105	105	106	107
	11.45%	97	98	99	101	101	102	103
	12.95%	87	88	89	91	91	92	93

Figure 14 — Sensitivity — Abercrombie Growth vs. WACC

W A C C	Hollister Next Five Years Growth Rate							
	109.48	0%	1%	2%	4%	4%	5%	6%
	8.95%	121	122	124	127	127	128	130
	9.45%	115	116	117	120	120	122	123
	9.95%	109	111	112	115	115	116	117
	10.45%	105	106	107	109	109	111	112
	10.95%	100	101	103	105	105	106	108
	11.45%	97	98	99	101	101	102	103
	12.95%	87	88	89	91	91	92	93

Figure 15 — Sensitivity — Hollister Growth vs. WACC

W A C C	Terminal Growth					
	\$109	0%	0.60%	1.30%	1.90%	2.50%
	8.95%	115	120	127	133	142
	9.45%	110	114	120	126	133
	9.95%	106	109	115	120	126
	10.45%	102	105	109	114	119
	10.95%	98	101	105	109	113
	11.45%	95	97	101	104	108
	12.95%	86	88	91	93	96

Figure 16 — Sensitivity — Terminal Growth Rate vs. WACC

Investment Thesis

Over the past few years, the company has demonstrated a strong capacity to keep growing and capturing the interest of its target customers. I have confidence in its operational structure, which supports attractive margins and disciplined capital allocation. I believe the recent stock decline has been taken out of proportion, largely driven by investor concerns surrounding the Abercrombie brand and its transition from strong growth last year to a recent slowdown.

I remain confident that Abercrombie will continue to grow, even if it is currently experiencing a few weaker quarters. The company has meaningful growth opportunities through marketing initiatives - including its official partnership

with the **NFL** - and is one of the longest-standing American brands in the sector, demonstrating its ability to endure challenges and return to growth over multiple business cycles.

Management has indicated that the decline in comparable sales was primarily driven by lower average revenue per customer rather than reduced traffic, largely due to increased promotional activity stemming from weaker inventory management in the prior year. Hollister, meanwhile, has shown strong growth this year, and I expect this momentum to continue through the final two quarters.

Lastly, my target price is not based on aggressive assumptions but on low single-digit growth expectations, which increases my confidence that the stock is currently undervalued.

Catalysts

- **Q3 results.** Continued strong growth at Hollister offsetting the Abercrombie brand's weaker performance could serve as a significant catalyst. A clearer explanation of the factors driving Abercrombie's decline, demonstrating they are cyclical rather than structural, would further support the stock.
- **New marketing initiatives.** Collaborations with other companies or celebrities could meaningfully influence broader fashion trends and strengthen Abercrombie's positioning within the industry.

Investment Risks

- **Loss of sector leadership.** Failure to maintain leadership by effectively aligning products with evolving customer wants and needs could pressure growth and brand relevance.
- **Macroeconomic sensitivity.** Abercrombie is not positioned as a low-cost brand; any slowdown in the U.S. economy, particularly a significant event such as a recession, could materially impact demand and overall performance.
- **Increased competition.** While Abercrombie has performed well in core basic-apparel categories, these segments are relatively easy to enter, and heightened competition could pressure margins and market share.
- **Operational inefficiencies.** Renewed challenges in inventory management could negatively affect both financial performance and stock valuation.